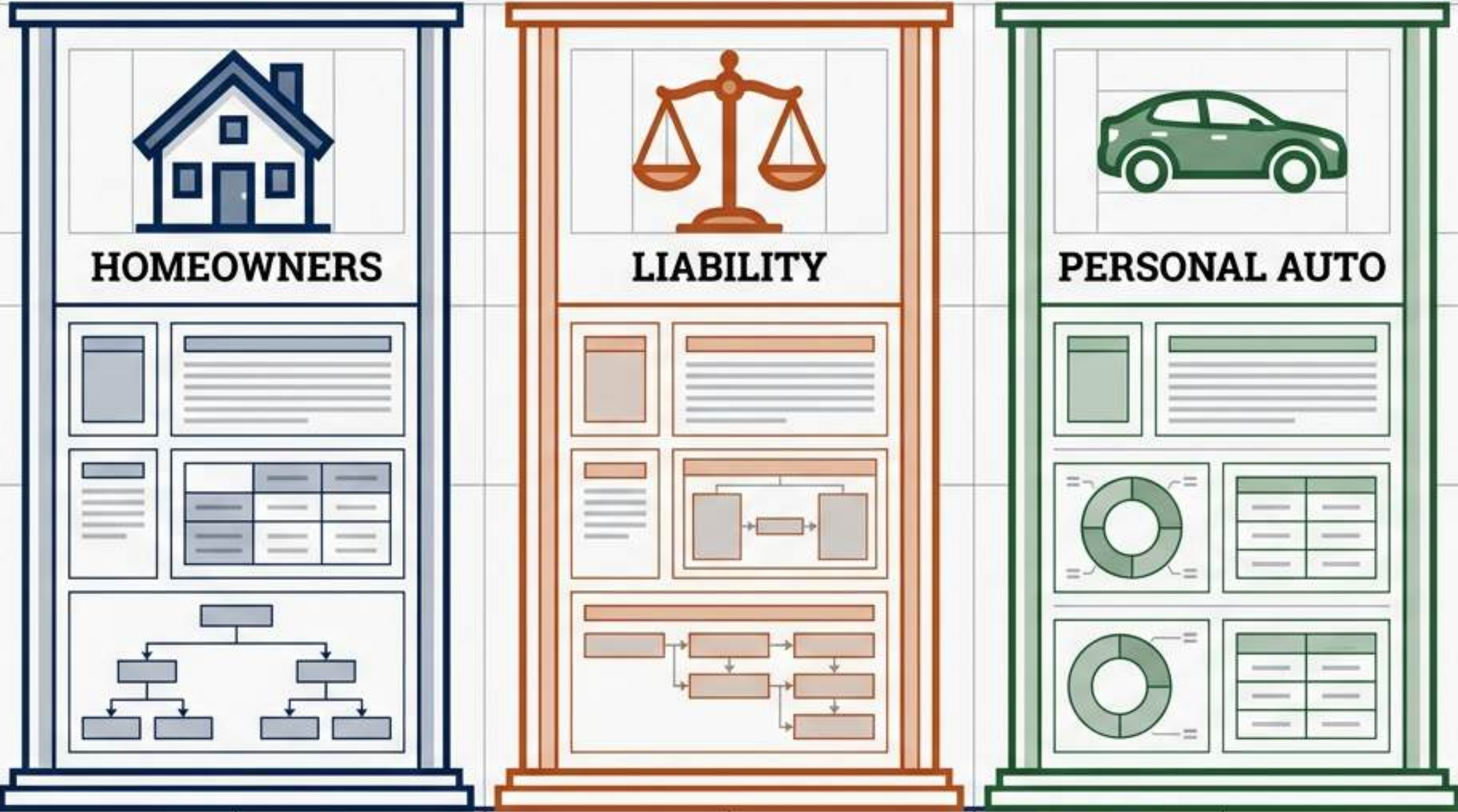


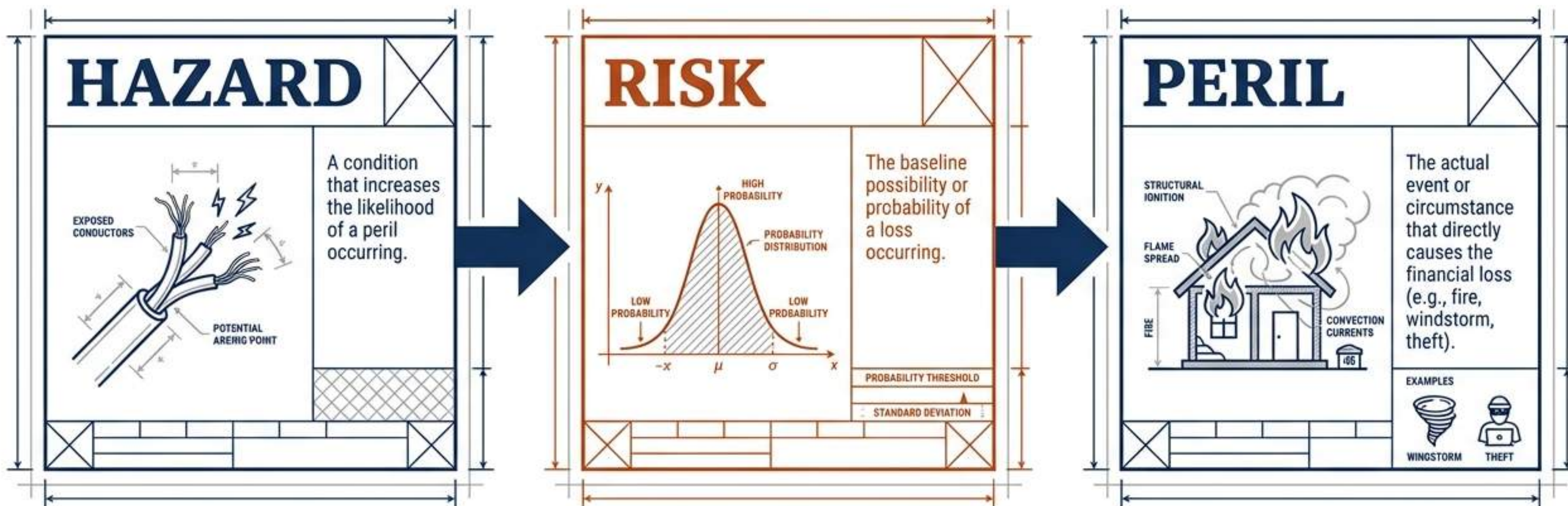
The Comprehensive Property & Casualty Blueprint



STUDY DECK OVERVIEW

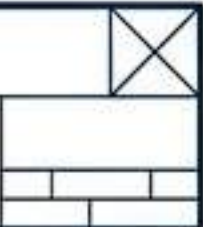
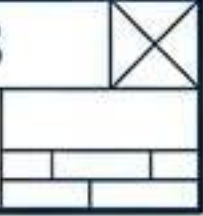
- | | | |
|--|---|---|
| ◇ Primary focus: A standalone, high-fidelity reference for Property and Casualty insurance rules, limits, and formulas. | ◇ Framework: Standard ISO (Insurance Services Office) Forms. | ◇ Core domains: Homeowners (HO), Personal Liability, and Personal Auto Policy (PAP). |
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THE ANATOMY OF A LOSS

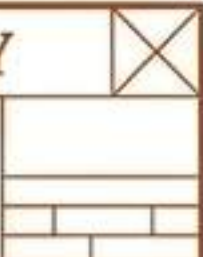


THE ARCHITECTURE OF A HOMEOWNERS POLICY

SECTION I: PROPERTY

	COVERAGE A: DWELLING Covers the physical structure of the residence premises, including attached structures.	
	COVERAGE B: OTHER STRUCTURES Covers structures on the residence premises separated from the dwelling by clear space.	
	COVERAGE C: PERSONAL PROPERTY Covers personal belongings owned or used by the insured anywhere in the world.	
	COVERAGE D: LOSS OF USE Covers additional living expenses and fair rental value if the residence is uninhabitable due to a covered loss.	

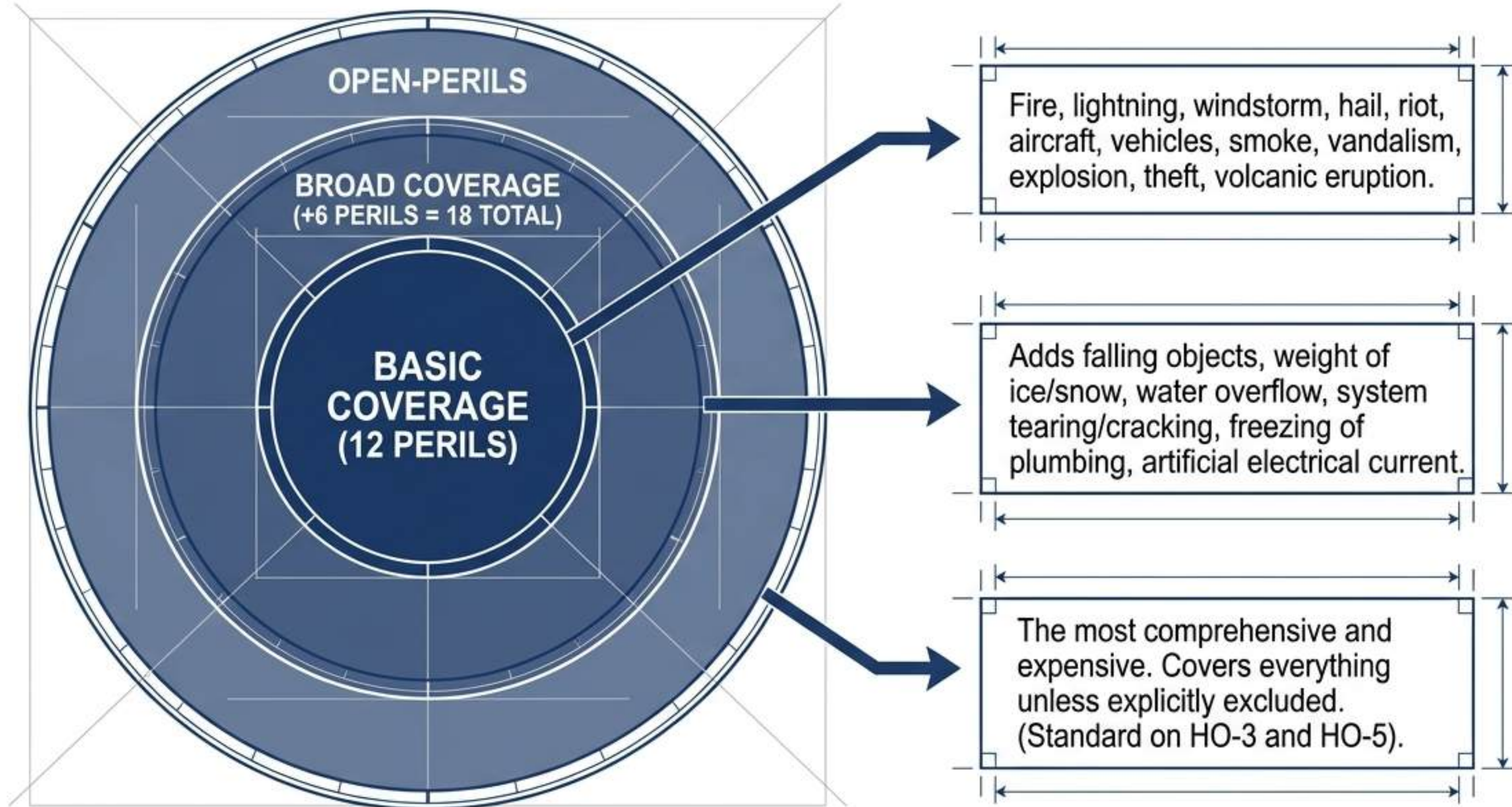
SECTION II: LIABILITY

	COVERAGE E: PERSONAL LIABILITY Covers bodily injury or property damage caused to others for which the insured is legally responsible.	
	COVERAGE F: MEDICAL PAYMENTS TO OTHERS Covers necessary medical expenses for guests injured on the residence premises, regardless of fault.	

- Pricing is primarily determined by the Coverage A limit.
- Coverages B, C, and D are typically calculated as strict percentages of Coverage A.
- Section I and Section II structures are identical across standard ISO forms; only the peril levels and amounts vary.



THE THREE TIERS OF PERIL COVERAGE



STANDARD HO FORMS COMPARISON MATRIX

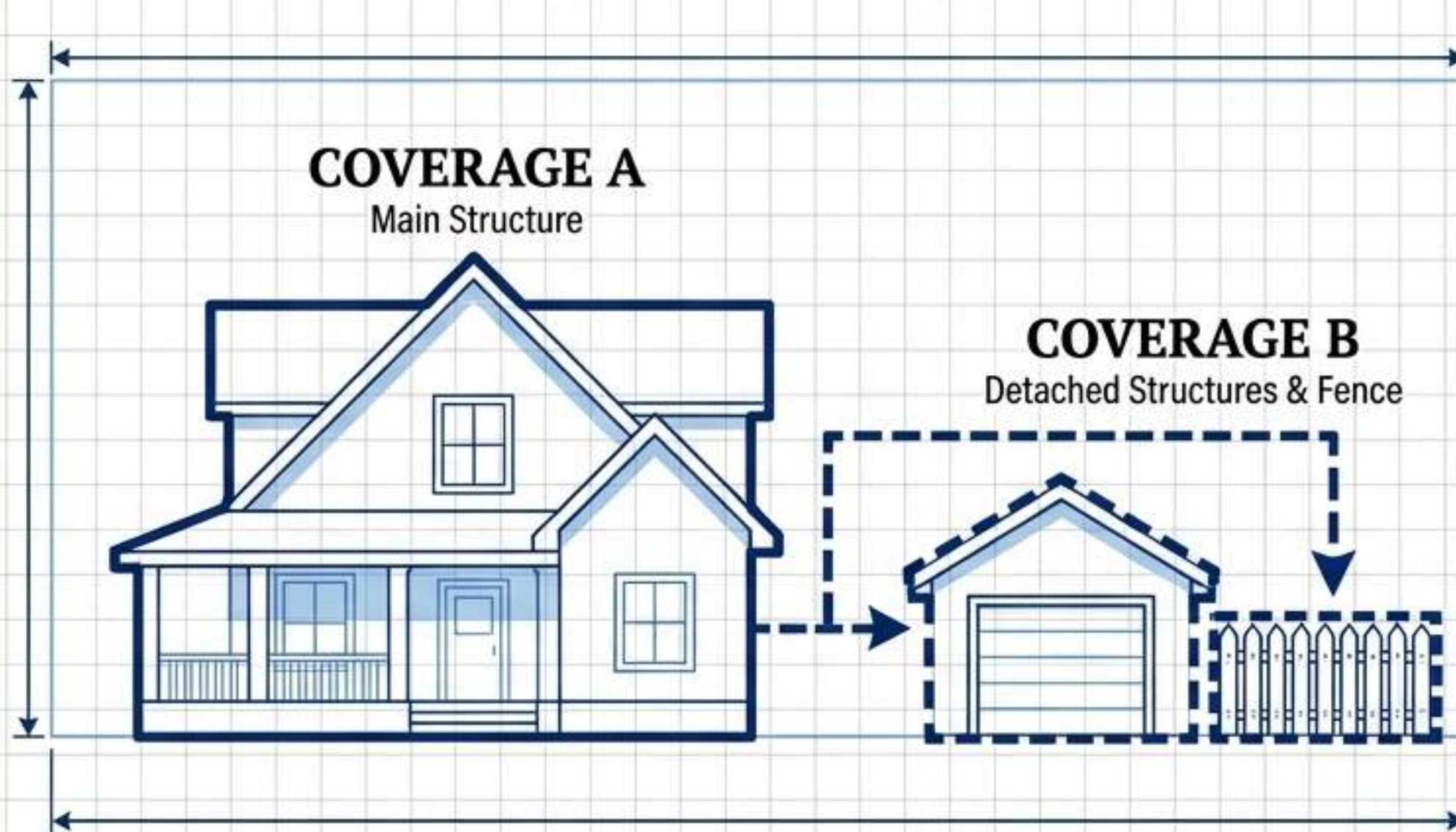
FORM & TARGET	DWELLING COVERAGE	PROPERTY COVERAGE
HO-2 (Broad Form)	Broad	Broad
HO-3 (Special Form) – Most popular policy.	Open	Broad
HO-4 (Tenants/Renters)	Not covered	Broad
HO-5 (Comprehensive)	Open	Open
HO-6 (Condo Unit)	Broad/Included	Broad
HO-8 (Special Risks/Older Homes)	Basic (ACV valuation)	Basic



EXAM TRAP: The HO-15 Endorsement

An endorsement added to an HO-3 to upgrade personal property to Open Perils (creating HO-5 equivalent coverage).

SECTION I COVERAGES A & B: THE DWELLING



COVERAGE A (DWELLING)

Insures the main structure and attached additions. Includes limited landscaping (trees, shrubs).

Rule:

Insure at 100% of Replacement Cost Value.

COVERAGE B (OTHER STRUCTURES)

Insures unattached structures on the premises (detached garages, sheds, fences).

Limit Formula:

Standardly set at 10% of Coverage A.

VALUATION NOTE:

Rebuilding costs may surge after natural disasters due to material/labor shortages. Guaranteed Replacement Cost riders can pay 115%–125% of stated limits.

COVERAGE C: PERSONAL PROPERTY STRICT LIMITS

**Standard property limit:
50% of Coverage A.**

\$200 Limit



Money, bank notes,
coins, bullion

\$1,500 Limit



Securities, stamp collections,
watercraft/trailers, theft of
jewelry/furs/cameras

\$2,500 Limit



Theft of firearms, theft of
silverware/goldware,
business property at home

**SOLUTION: High-value items require a personal property endorsement
(Inland Marine floater) with stated value/appraisal.**

COVERAGE C EXCLUSIONS & THE INLAND MARINE SOLUTION

9 Classes Specifically Excluded

- ✗ 1. Property insured elsewhere (floaters).
- ✗ 2. Animals, birds, fish.
- ✗ 3. Motorized land vehicles & aircraft (except hobby).
- ✗ 4. Property of roomers/boarders.
- ✗ 5. Apartment property held for rental.
- ✗ 6. Property rented off-premises.
- ✗ 7. Business data records (paper/software).
- ✗ 8. Credit/fund transfer cards.

The Inland Marine Solution



The Inland Marine Floater:
Provides open-perils coverage for transported/valuable property at appraised value.

The Pair or Sets Problem:
Standard policies only pay for a single lost earring, destroying the set's value. Inland marine policies cover the lost value of the full set.



THE 8 GENERAL PROPERTY EXCLUSIONS



Ordinance/Law



Earth Movement



Water Damage
(external/groundwater)



Power Failure
(off-premises)



Neglect



War



Nuclear Hazard



Intentional Loss

Special Case 1: Earth Movement

Excluded in standard policies. Added via endorsement or separate policy (e.g., California Earthquake Authority). Deductibles are high: up to 10% of policy face amount.

Special Case 2: Water Damage

Damage from external flooding is excluded (pipe bursts are covered). Requires separate policy via the National Flood Insurance Program (NFIP).



THE 80% COINSURANCE PROVISION FORMULA

THE RULE:

A home must be insured for at least 80% of its replacement cost for partial losses to be fully covered. Otherwise, the insurer pays the greater of Actual Cash Value (ACV) OR the Coinsurance Formula.

$$\left(\frac{\text{Amount of Insurance Carried}}{\text{Amount of Insurance Required}^*} \right) \times \text{Loss} - \text{Deductible}$$

EXAMPLE (ZACHARY):

FACTS:

Replacement cost = \$400k.
Required = \$320k (80%).
Zachary has \$300k coverage.
Deductible = \$1k. Loss = \$20k.

STEP 1:

$$\frac{\$300,000}{\$320,000} = 0.9375$$

STEP 2:

$$0.9375 \times \$20,000 = \$18,750$$

STEP 3:

\$18,750 - \$1,000
(Deductible) = \$17,750
insurer payout.





SECTION II

COVERAGE E: PERSONAL LIABILITY

DEFINITION

Comprehensive Personal Liability (CPL) pays for bodily injury or property damage inflicted on others, plus legal defense costs.

OUT-OF-COURT

The insurer reserves the right to settle out of court without the insured's consent.

WHO IS INSURED

Named insured, resident relatives, minors under 21 in care, and children away at college.

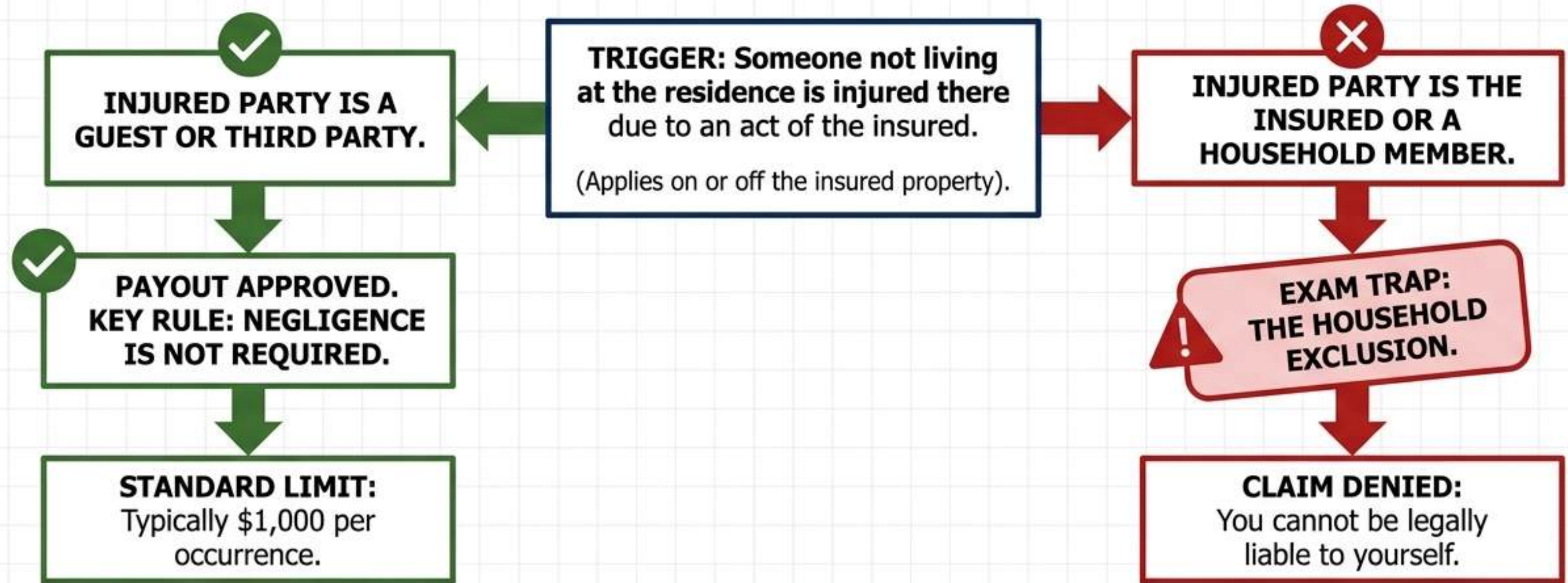


EXAM TRAP: LIMIT VS. LIABILITY (THE BANKRUPTCY TRAP)

If a court awards \$1M and the policy limit is \$500k, the insurer pays \$500k.

- If the insured files for bankruptcy to avoid the remaining \$500k, the insurer **MUST STILL PAY** its \$500k obligation.

SECTION II COVERAGE F: MEDICAL PAYMENTS TO OTHERS



EXAMPLE:

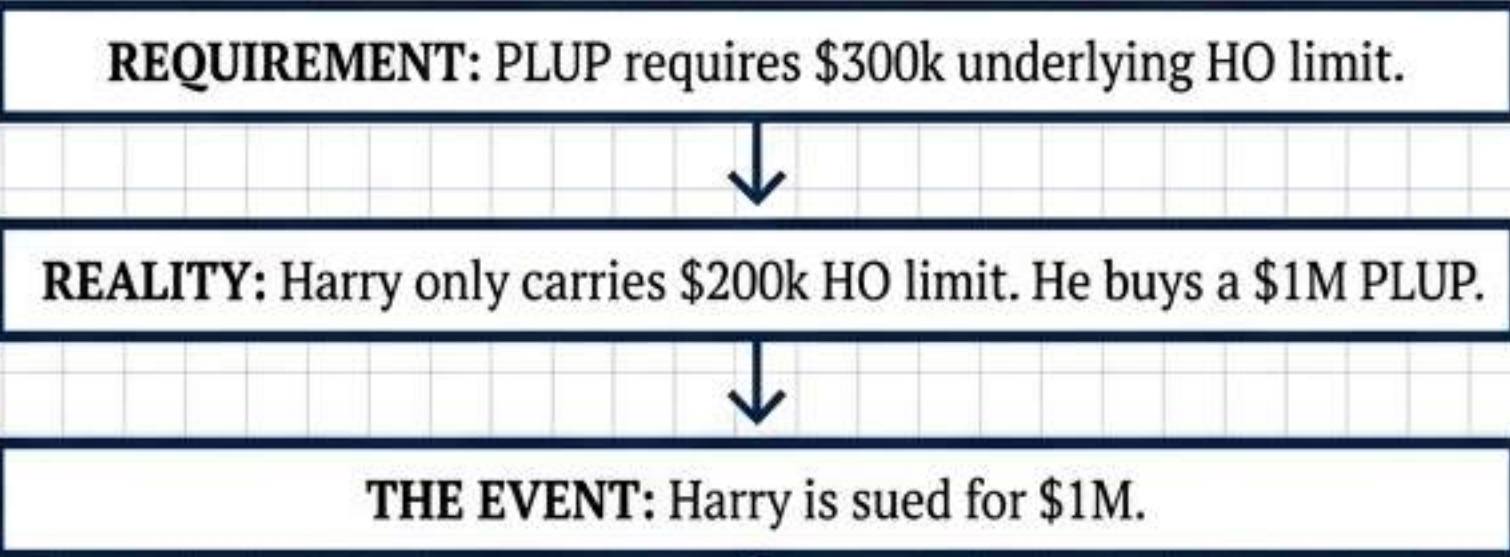
If Alex's campfire burns his neighbor's house, Coverage E covers the damage.

If George's dog bites a pedestrian, Coverage F covers the \$1k medical bill.

PERSONAL LIABILITY UMBRELLA POLICY (PLUP)



THE DROP-DOWN PENALTY EXAMPLE (HARRY)

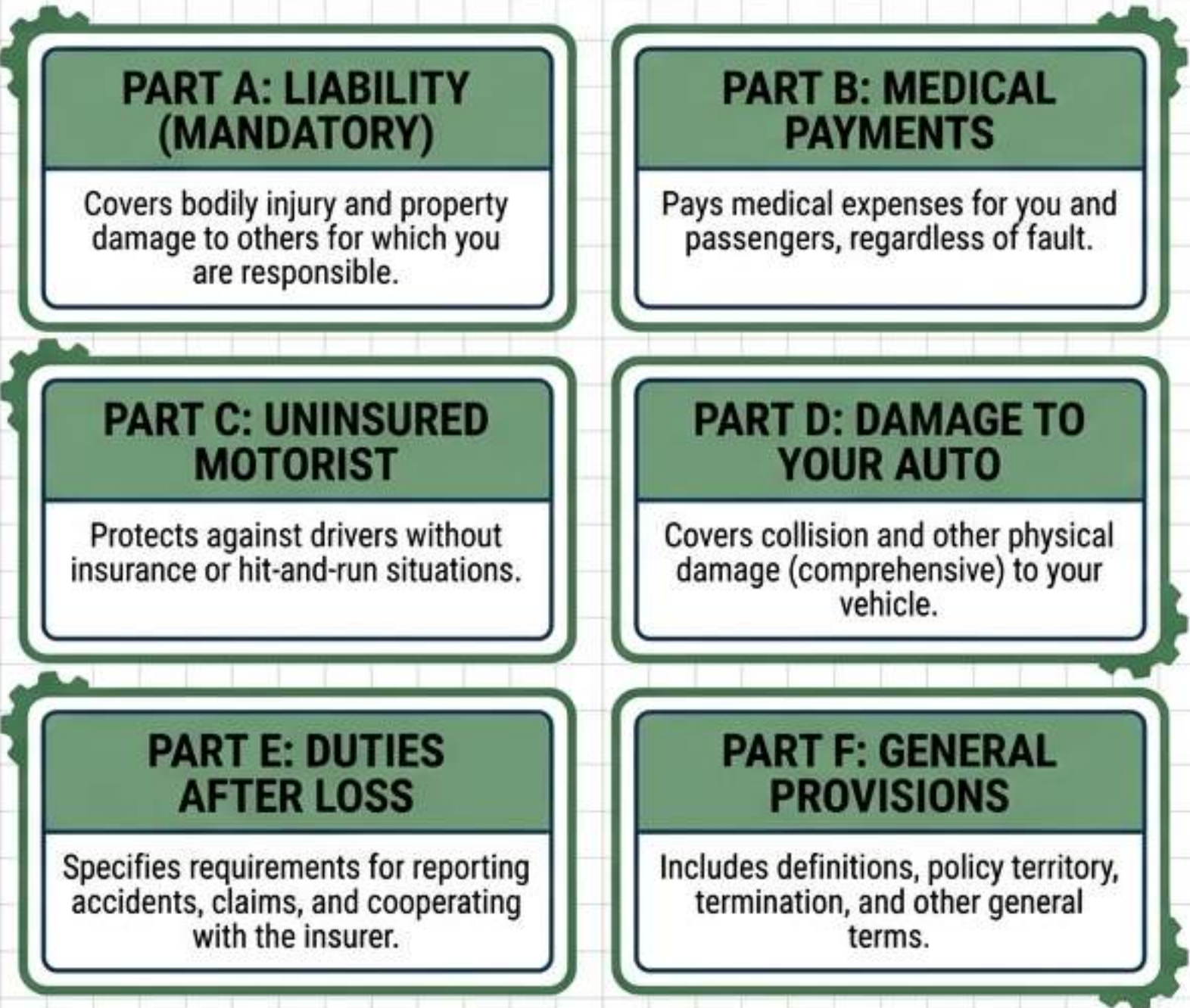


DETAILED PAYOUT BREAKDOWN	
✓	HO POLICY PAYS: \$200k.
☂	PLUP PAYS: \$700k (It drops down to the \$300k requirement level, covering up to the \$1M total).
⚠	HARRY'S PERSONAL GAP: \$100k OUT OF POCKET.

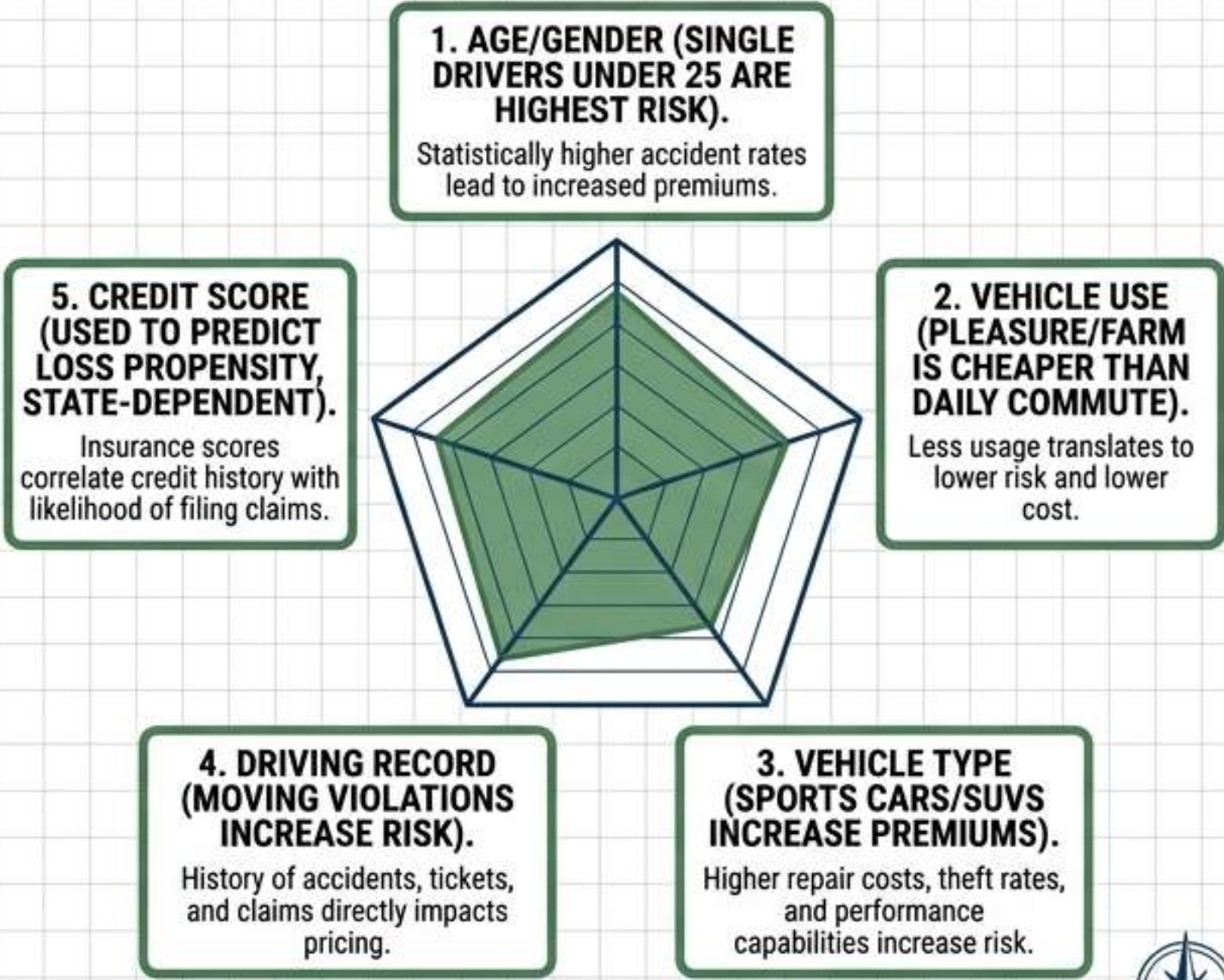


PERSONAL AUTO POLICY (PAP) ARCHITECTURE

THE PAP STRUCTURE



THE 5 PRICING FACTORS



DECODING AUTO LIABILITY LIMITS (SPLIT LIMITS)

NOTE: LIABILITY COVERAGE (PART A) IS THE ONLY MANDATORY AUTO INSURANCE. IT IS 3RD-PARTY COVERAGE (PROTECTS OTHERS).

25 / 50 / 10



25 (\$25,000):
Maximum bodily injury liability paid per individual person.



50 (\$50,000):
Maximum total bodily injury liability paid per entire accident (regardless of the number of people injured).



10 (\$10,000):
Maximum property damage liability paid per accident.

NOTE: Some states allow a single limit (e.g., \$300,000) blanketing both bodily injury and property damage.

PAP PART A: LIABILITY COVERAGE & EXCLUSIONS

COVERAGE SCOPE

- **Who is Insured?**
 - Named insured, resident family, anyone allowed to drive the covered auto, and employers if you are driving your car for their errands.
- **What is a Covered Auto?**
 - Listed vehicles, substitute vehicles (if yours is broken down), and utility trailers.



THE 14-DAY RULE:

A newly acquired vehicle is covered, but the insurer must be notified within 14 days (30 days in some states).

EXCLUSIONS

- Nonpermissive users (e.g., a car thief has no liability protection).
- Business livery (Uber, Lyft, taxi—requires commercial policy).
- Property belonging to the insured (covered by Homeowners C).
- You cannot be liable to yourself (family cannot sue family for liability payouts).

DIAGNOSTIC MATRIX: MEDICAL PAYMENTS (AUTO VS. HOME)

**EXAM TRAP:
THE CONCEPTUAL INVERSION**

AUTO PART B (MEDICAL PAYMENTS)

- **WHO IT PAYS:** The Insured, Family, and Occupants of the insured vehicle.
- **COVERAGE SCOPE:** Includes being struck as a pedestrian/cyclist.
- **TIME LIMIT:** Needed within a limited window (e.g., up to 3 years).
- **EXCLUSIONS:** Less than 4 wheels, business use, nuclear/war, racing.

KEY DIFFERENCE: AUTO PROTECTS YOU.

HOMEOWNERS COVERAGE F (MEDICAL PAYMENTS)

- **WHO IT PAYS:** OTHERS.
- **WHO IS EXCLUDED:** The Insured and Household Members.
- **TRIGGER:** Injury occurs at the residence or due to an act of the insured.
- **RULE:** Negligence is NOT required.

**KEY DIFFERENCE: HOMEOWNERS
PROTECTS GUESTS.**

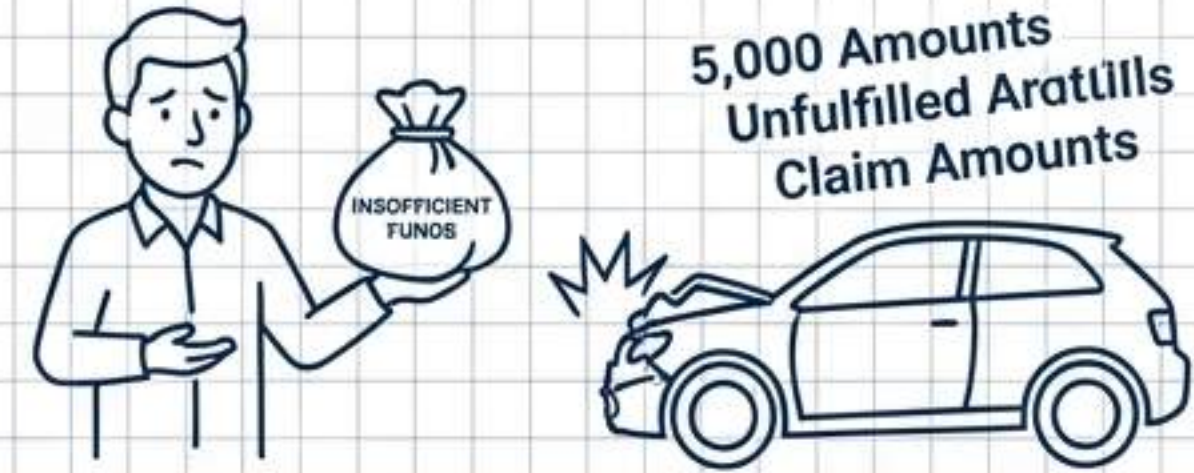
PAP PART C: UNINSURED & UNDERINSURED MOTORIST

UNINSURED MOTORIST TRIGGER



You are hit by an at-fault driver with NO insurance, or you are the victim of a hit-and-run. Covers the insured and anyone entitled to recover damages (e.g., a spouse).

UNDERINSURED MOTORIST TRIGGER



You are hit by an at-fault driver who has insurance, but their policy limits are too low to cover your total damages.

ACTION: Underinsured coverage must often be added by endorsement to make the injured driver whole.

 **EXCLUSION:** Settling with the at-fault party's company without your insurer's approval voids this coverage.

PAP PART D: PHYSICAL DAMAGE (COLLISION VS. COMPREHENSIVE)

COLLISION	COMPREHENSIVE (OTHER-THAN-COLLISION)
• Pays for damage when the insured hits a stationary object (tree, post), is rear-ended, or overturns. • Paid regardless of fault. 	• Pays for damage when the insured is not at fault.  • Perils include: Fire, theft, glass breakage, wind, flood, hail, vandalism, and contact with a bird or animal (e.g., hitting a deer).

VALUATION: Standard PAP auto damage is strictly Actual Cash Value (ACV)—replacement cost minus depreciation.

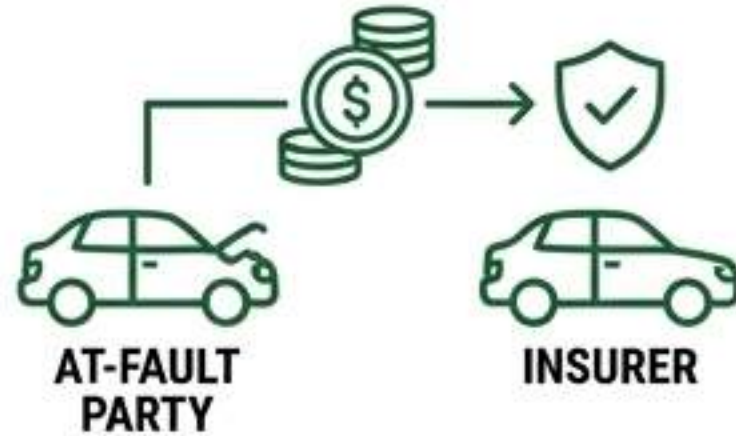
TRANSPORTATION EXPENSE ALLOWANCE: If an auto is stolen or damaged, standard limits provide up to \$20/day (max \$600) for alternate transit (rental, bus). 



GENERAL AUTO PROVISIONS & ENDORSEMENTS

SUBROGATION CLAUSE

The insurer's right to recover claim payments made to you from the actual at-fault party.



LIBERALIZATION CLAUSE

If the insurer broadens coverage for all policies without increasing premiums, your policy upgrades automatically without needing your approval.



MISCELLANEOUS-TYPE ENDORSEMENT

Modifies definitions to cover motorcycles, ATVs, and motorhomes.

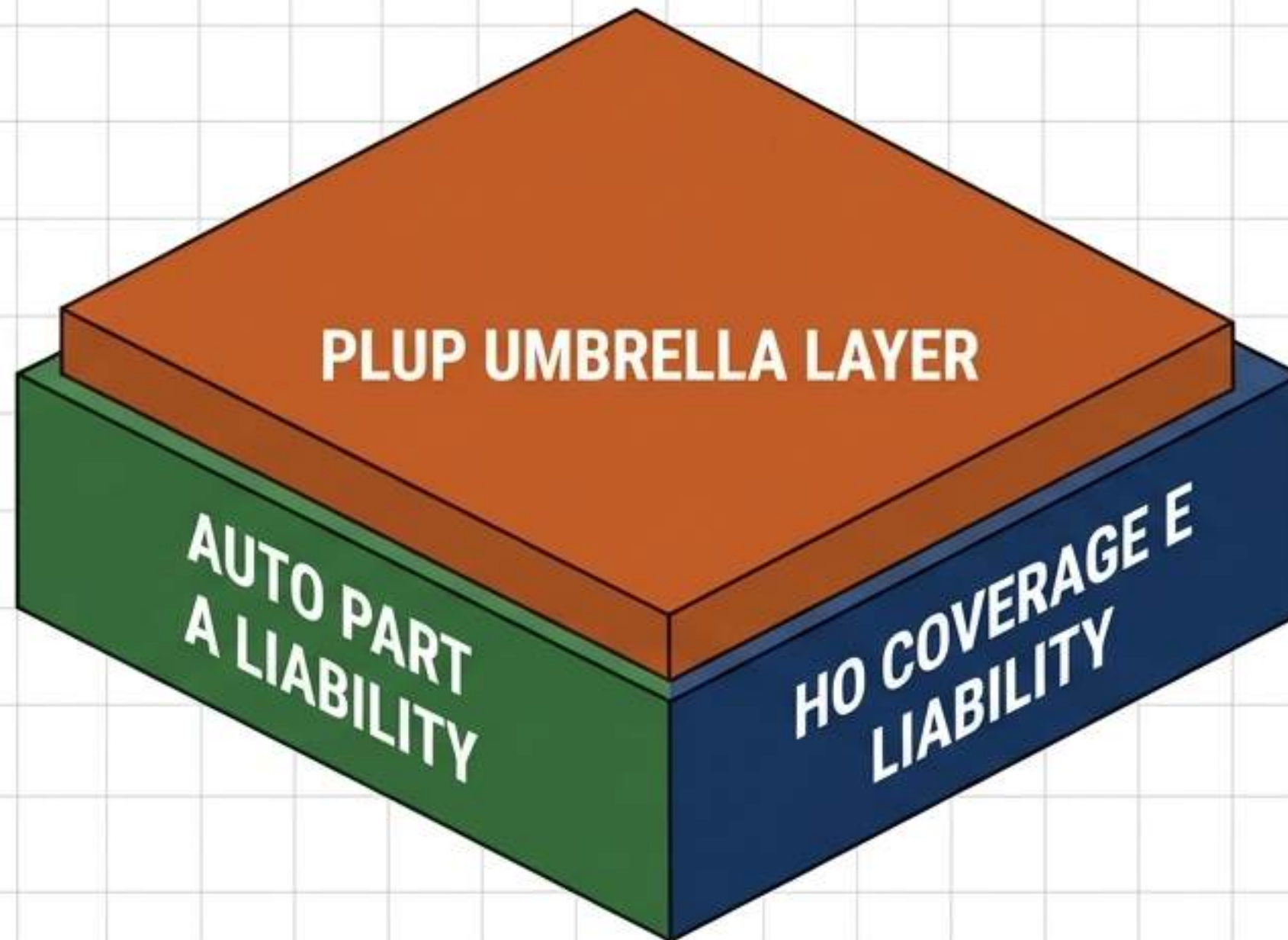


ANTIQUE/CLASSIC ENDORSEMENT

Bypasses standard ACV depreciation.
Pays the lesser of:
Stated/specified amount,
ACV, or repair cost.



SYNTHESIS: COORDINATING THE P&C STACK



THE RISK MANAGEMENT PARADIGM

A financial planner must analyze property valuations, liability exposures, and coordinate policies to prevent overlap or catastrophic gaps.

RULE OF THUMB

Clients should maintain liability limits at least equal to their net worth (exception: high-earning professionals with debt need higher limits early in careers).



THE COORDINATION CHECK

Ensure basic Homeowners and Auto liability limits precisely meet the minimum requirements of the Personal Liability Umbrella Policy to prevent out-of-pocket "drop-down" penalties.